

governance may not be entirely valid in the new order. Yet, placing too many restrictions to stay overly safe from a corporate governance standpoint may not allow enterprises to fully leverage opportunities.

Enterprises have adopted their own ways to manage corporate governance. These methodologies have typically been variants of a framework consisting of the following components: creation of a digital governance model, robust delivery structure and Board restructuring.

Setting of a digital governance model

This involves creation of a flexible system to maintain accountability, roles and decision making for all the digital initiatives, taking into consideration regulatory, legal, compliance and market risks. Once in place, it forms the foundation of all digital initiatives that should conform to the stated governance model. It should be flexible for process owners initiating such a change to understand the impact and also see the output in the form of adherence to metrics in order to ensure compliance. For instance, in the case of posting online assets, this could include a set of bare minimum and non-negotiable guidelines that provide a direction based on which employees can act, thereby leading to greater process agility.

Creating a governance delivery structure

Several enterprises have created a shared organisation to work with local units and deliver various digital initiatives. While this ensures adoption of the defined governance model, it also brings down the overall costs and redundant activities. The shared unit can bring in good practices and learnings from the various initiatives they execute from



time to time. Some initiatives could be corporate wide and can be executed centrally. Think of the shared unit as a boutique specialist arm for the enterprise that can potentially also act as a strategic think-tank for new business models and innovation across the enterprise. Such a shared unit model can also bring the required digital skills into the workplace and contribute to training and knowledge sharing.

Several companies have created roles of digital subject matter experts/chief digital officers, who spearhead the organisation's digital priorities and are also responsible for execution of the governance model. They typically work with single points of contact (SPOCs) from the respective business unit, who acts as a liaison for that respective unit to interact with the chief digital officer and the shared unit.

Board restructuring

Like Louis Gerstner once said, "The real mechanism for corporate governance is the active involvement of the owners." Over 95 per cent of corporate Boards across industries have no technology expertise. Many Board members recognise these deficiencies.

In a 2015 survey by PwC, almost

79 per cent of large company directors said that their Boards did not sufficiently understand technology. This represents a huge opportunity. Boards could be enriched with independent directors who bring significant digital knowledge and experience and who can provide strategic direction to the Board from an overall digital strategy and corporate governance standpoint. They can no longer postpone this imperative. It would also be a good practice to open more than one Board seat for such expertise, as people with specialised experience

across strategy and execution will add more flavour and value to the Board. Such a Board re-composition should be done hand in hand with changes in the management structure along the lines of the digital delivery structure.

Digital governance: Key to corporate success

Digital governance requires serious work to put a structure in place, whereby nothing is left to chance. Creation of a governance model and a robust delivery structure, including an optimal Board composition, is the key to make this change happen. This needs to be combined with continuous review and fine-tuning of the delivery and execution model to keep pace with changes.

Like Jim Jones said in *Business Day*, "Corporate governance is not something that is put in place and then left. Ensuring its effectiveness depends on regular review, preferably regular independent review. And, in the end that comes down to the shareholders. Outside assessment and self-assessment need to be regular events." Corporate governance in the context of digital requires its fair share of attention in driving overall growth in revenues and profitability for any enterprise. **EFY**